

company reports), and one brokerage firm called it a strong sell. Another had me pen this comment: “The worst star scores I’ve ever seen.” Plus, it was thinly traded, which I don’t like.

- Lesson: If the shares you wish to trade make up more than 1% of average daily volume, then the stock is too thinly traded. Look elsewhere.

There were positive indications about a winning trade, too. The stock was sitting on a shelf of support. The commodity channel index (CCI, an indicator) said buy the prior day. The chart pattern had a +2 score with a target of 15.42, above the buy price of 12.30.

My uneasiness about the stock made me cut the position size in half.

- Lesson: Worried about a trade? Cut the position size.

I did not wait for confirmation of the pipe bottom (it didn’t appear to confirm on either the daily or weekly scales). Instead, I bought the day after price made a strong move up on the daily scale.

I placed an order to sell on the close if my conditional stop order hit. And it hit the day after I bought, handing me a 6% loss for a holding time of one day.

I consider myself fortunate that I took such a small loss. The stock continued lower, but not in a straight line. The 2008 bear market took the stock down to 3.46 or 70% below where I sold.

- Lesson: Wait for confirmation before buying.
- Lesson: If the stock busts an upward breakout from a chart pattern, sell immediately (or certainly consider selling).

## **Spancion**

I left the best trade for last. In 2008, I flirted with the semiconductor industry and bought Spancion (SPSN). It seems every time I buy a semiconductor stock or chip maker, I lose money.